Block practice · Markup, margins and the income statement

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Calculate the gross profit margin

Markup: percentage, selling price or cost

Using income statements and financial documents to decide

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Practice workbook · Calculate the gross profit margin

Calculating gross profit margin as gross profit divided by revenue times 100, finding gross profit first if needed.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-CALC-14

1. Question 3 · part c · 2 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

3 (a) Define the term **non-current assets**.

(1)

(b) Outline **one** disadvantage to *Can Culleretes* of increasing the amount of inventory it holds.

(2)

Figure 2 is an extract of financial information from *Can Culleretes*.

Sales revenue	€19 220
Cost of sales	€14 720
Gross profit	€4 500

Figure 2

(c) Calculate, to 2 decimal places, the gross profit margin. You are advised to show your working.

(2)

.....%

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1. Question 3 · part c · 2 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

(d) Analyse the impact of customers using social media to review *Can Culleretes*.

(6)

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1. Question 3 · part c · 2 marks · Working and answer

Working and answer

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2. Question 3 · part c · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

3 Figure 1 is an extract from *Lavender's* Statement of Comprehensive Income. Use the information below and then answer the following questions.

	Bakery (000s MYR)	*L.café* (000s MYR)	*L.bistro* (000s MYR)
Revenue	149	75	65
Cost of sales	83	51	33
Gross profit	66	24	32
Gross profit margin	44.3%		49.2%

Figure 1

(a) Define the term **current liabilities**.

(1)

(b) Outline **one** reason why the revenue is higher for the Bakery shops rather than for *L.café* and *L.bistro*.

(2)

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2. Question 3 · part c · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) Using Figure 1, calculate the gross profit margin for *L.café*. You are advised to show your workings.

(2)

.....%

(d) Analyse how the Statement of Comprehensive Income can be used by *Lavender* when considering its expansion.

(6)

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2. Question 3 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part e · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

1 *Backyard Shoez* is a retail business located in Nairobi, Kenya. It sells a wide range of shoes, handbags and accessories for ladies only. *Backyard Shoez* has three shops in Nairobi. The shops are located in a busy shopping centre where there are other shoe shops.

(Source adapted from: https://backyardshoez.co.ke/)

(a) (i) Which **one** of the following is a method of secondary market research?

(1)

Select **one** answer.

- ☒ **A** Questionnaires
- ☒ **B** Government reports
- ☒ **C** Surveys
- ☒ **D** Focus groups

(ii) Which **one** of the following could be a financial objective for the owners of *Backyard Shoez*?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Increased production quality
- ☒ **C** Increased market share
- ☒ **D** Loyal employees

(iii) Which **one** of the following is an external source of finance for the owner of a business?

(1)

Select **one** answer.

- ☒ **A** Bank loan
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Selling assets

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3. Question 1 · part e · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

(iv) Which functional area would be responsible for quality control?

(1)

Select **one** answer.

- ☒ **A** Marketing
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Administration

In February 2018 *Backyard Shoez* imported 50 handbags from Italy. Each handbag cost them €20.

The exchange rate In February 2018 was €1 = 124.48 Kenyan Shillings (Ks).

(v) How much did *Backyard Shoez* have to pay in Kenyan Shillings for each handbag imported in February 2018?

(1)

Select **one** answer.

- ☒ **A** 2 489.60
- ☒ **B** 6 224.00
- ☒ **C** 24 896.00
- ☒ **D** 124 480.00

In September 2018 the exchange rate was €1 = 117.79 Ks.

(vi) What effect would this exchange rate have on *Backyard Shoez* if the cost of an imported handbag remained at €20?

(1)

Select **one** answer

- ☒ **A** Import costs would be unchanged
- ☒ **B** Net cash flow would improve
- ☒ **C** The price of the handbags in euros would rise
- ☒ **D** The cost of importing a handbag would fall

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3. Question 1 · part e · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

(b) Define the term **stakeholder**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** method *Backyard Shoez* could use for on-the-job training.

(1)

Figure 1 is an extract from the statement of Profit or Loss Account of Backyard Shoez.

	Ks
Revenue	570 000
Cost of goods sold	67 500
Direct labour	2 000
Total cost of sales	69 500
Gross profit	500 500

Figure 1

(e) Calculate the gross profit margin to 2 decimal places. You are advised to show your working.

(2)

.....%

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3. Question 1 · part e · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

(f) Explain **one** way a business could increase its **gross profit margin**.

(3)

(g) Analyse the importance to *Backyard Shoez* of satisfying customer needs.

(6)

(Total for Question 1 = 20 marks)

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3. Question 1 · part e · 2 marks · Working and answer

Working and answer

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4. Question 3 · part c · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.

3 (a) Define the term **price skimming**.

(1)

(b) Outline **one** reason why cash might be important to *Artify Studio*.

(2)

Figure 1 is an extract from the *Artify Studio* statement of profit and loss.

	S$
Revenue	90 500
Cost of goods sold	53 500
Direct labour	8 500
Total cost of sales	62 000
Gross profit	28 500

Figure 1

(c) Calculate, to two decimal places, the gross profit margin for *Artify Studio*. You are advised to show your working.

(2)

..... %

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4. Question 3 · part c · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.

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(d) Analyse how *Artify Studio* could use the information in **Figure 1** to assess the performance of the business.

(6)

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4. Question 3 · part c · 2 marks · Working and answer

Working and answer

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5. Question 4 · part a · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

4 *Cadbury* is part of the multinational *Mondelez* business. In 2017 *Mondelez* had a gross profit of $10.3 million and a revenue of $25.9 million.

(a) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

(2)

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5. Question 4 · part a · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

When *Cadbury* was founded in 1842, there may have been times when it needed an overdraft.

(b) Analyse why *Cadbury* may have needed to take out an overdraft.

(6)

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5. Question 4 · part a · 2 marks · Working and answer

Working and answer

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6. Question 4 · part a · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

4 **Figure 2** is an extract from *Aude Rose*'s Statement of Comprehensive Income.

Sales	€62 400
Gross profit	€45 024
Cost of sales	€17 376

Figure 2

(a) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

(2)

..... %

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6. Question 4 · part a · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

(b) Analyse factors that *Aude Rose* might consider when measuring the success of its business.

(6)

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6. Question 4 · part a · 2 marks · Working and answer

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7. Question 1 · part e · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

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1 *IKEA* is a well-known home furniture retailer with stores throughout the world. It was started in 1943 by Ingvar Kamprad when he was given some money by his father for doing well at school. He wanted to produce furniture at a price that people could afford to buy.

He realised that transporting furniture to customers was difficult as goods were often damaged. He developed flat packs to avoid damage. A flat pack contained all the materials needed to self-assemble a table, a chair or a bed.

All *IKEA* stores are run as franchises.

(a) (i) Which **one** of the following is a financial business objective?

Select **one** answer.

(1)

- ☒ **A** Challenge
- ☒ **B** Social objectives
- ☒ **C** Survival
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is an advantage to a business of using venture capital?

Select **one** answer.

(1)

- ☒ **A** It decreases access to other sources of finance
- ☒ **B** It keeps ownership in the business
- ☒ **C** It improves public relations
- ☒ **D** It can receive expert advice

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7. Question 1 · part e · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

A Canadian supplier of timber charges *IKEA* $19.75 Canadian Dollars (CAD) per load.

The exchange rate is $1 CAD = 6.58 Swedish Krona (SEK).

(iii) Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona?

Select **one** answer.

(1)

- ☒ **A** 151.98 SEK
- ☒ **B** 3 001.52 SEK
- ☒ **C** 19 750.00 SEK
- ☒ **D** 129 955.00 SEK

An *IKEA* dining table costs *IKEA* 3 800 SEK to make. The table sells for 4 400 SEK.

(iv) Which **one** of the following is the correct markup?

Select **one** answer.

(1)

- ☒ **A** 1.16%
- ☒ **B** 13.64%
- ☒ **C** 15.79%
- ☒ **D** 115.79%

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7. Question 1 · part e · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

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Figure 1 is a diagram of a product life cycle.

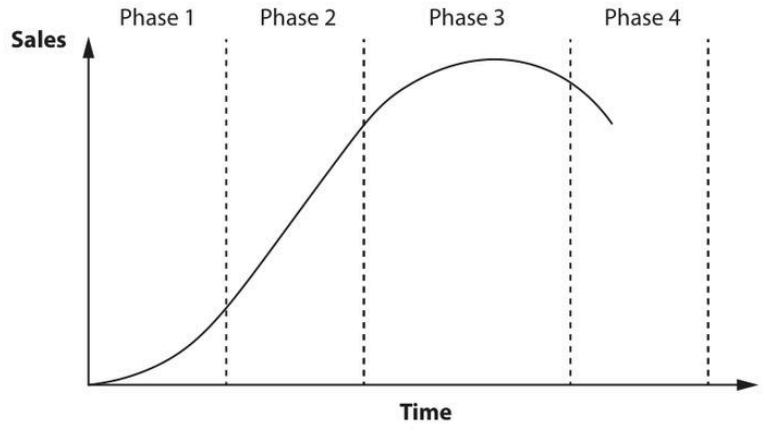


Figure 1

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(v) Which **one** of the following is Phase 3 of the product life cycle?

Select **one** answer.

(1)

- ☒ **A** Decline
- ☒ **B** Growth
- ☒ **C** Introduction
- ☒ **D** Maturity

(vi) Which **one** of the following are equal in a break-even graph?

Select **one** answer.

(1)

- ☒ **A** Fixed costs and variable costs
- ☒ **B** Fixed costs and revenue
- ☒ **C** Total costs and fixed costs
- ☒ **D** Total costs and revenue

7. Question 1 · part e · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

(b) Define the term **person specification**.

(1)

(c) Define the term **quality control**.

(1)

(d) State **one** reason why *IKEA* provides induction training for new employees.

(1)

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Figure 2 is an extract from *IKEA*'s Statement of Income for 2020.

	Euros (€) millions
Revenue	37 368
Cost of sales and services	25 643
Gross profit	11 725

Figure 2

(e) Calculate, to two decimal places, the gross profit margin for 2020. You are advised to show your working.

(2)

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7. Question 1 · part e · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

(f) Explain **one** reason why businesses want to use resources effectively in manufacturing.

(3)

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7. Question 1 · part e · 2 marks · Working and answer

Working and answer

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8. Question 4 · part a · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part a only.

4 **Figure 3** shows the gross profit for *Kraft Heinz* for the three months ending 25 June 2022:

	Million (US Dollars)
Gross profit	1 984
Revenue	6 554

Figure 3

(a) Calculate, to two decimal places, the gross profit margin for *Kraft Heinz* for the three months ending 25 June 2022. You are advised to show your working.

(2)

.....%

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8. Question 4 · part a · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part a only.

(b) Analyse the benefits to countries where *Kraft Heinz* is located.

(6)

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8. Question 4 · part a · 2 marks · Working and answer

Working and answer

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9. Question 3 · part c · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) Define the term **share capital.**

(1)

(b) Outline how *CCT* could use quantitative research data to improve its service.

(2)

Figure 2 is an extract from the statement of comprehensive income from a *CCT* competitor.

	CYN
Revenue	85 000
Cost of sales	13 500
Gross profit	71 500

Figure 2

(c) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

(2)

.....%

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9. Question 3 · part c · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

CCT wants to extend its services by offering family tour holidays and team-building days for businesses. It plans to recruit an external Marketing Manager to promote these new services.

(d) Analyse the possible effects on *CCT* of recruiting externally.

(6)

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9. Question 3 · part c · 2 marks · Working and answer

Working and answer

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10. Question 4 · part a · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part a only.

4 **Figure 4** is an extract from a *Four Fitness* Statement of Comprehensive Income.

	€
Revenue	168 000
Costs of sales	54 638
Gross profit	113 362

Figure 4

(a) Calculate, to two decimal places, the gross profit margin. You are advised to show your workings.

(2)

..... %

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10. Question 4 · part a · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part a only.

(b) Analyse why *Four Fitness* complies with health and safety laws.

(6)

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10. Question 4 · part a · 2 marks · Working and answer

Working and answer

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Practice workbook · Markup: percentage, selling price or cost

Calculating markup as profit per unit over cost times 100, or using a markup to find selling price from cost or cost from selling price.

15 question parts: 1 worked-example retry and 14 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-CALC-13

1. Question 1 · part e · 2 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part e only.

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1 *The Alternative Drum School (TADS)* was set up in the wealthy area of Cricklade, England in 2008 by Ollie Tanner who had a passion for and enjoyed drumming. Ollie invested all of his savings into the drumming school. He saw the potential of being located away from other drumming schools.

Ollie promotes his business by writing columns in local papers, performing at local music festivals and by word of mouth recommendations. He has invested heavily in computer technology to allow students to produce the music they enjoy playing.

Ollie finds it difficult to maintain a good work-life balance. Ollie currently works 60 hours a week in a business that does not have reliable profits.

(a) (i) Which **one** of the following could a sole trader pay on its profits?

(1)

Select **one** answer.

- ☒ **A** Sales tax
- ☒ **B** Income tax
- ☒ **C** Corporation tax
- ☒ **D** Indirect tax

(ii) Which **one** of the following is a variable cost?

(1)

Select **one** answer.

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Packaging

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1. Question 1 · part e · 2 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part e only.

(iii) Which **one** of the following is a method of primary market research?

(1)

Select **one** answer.

- ☒ **A** Newspaper articles
- ☒ **B** Government statistics
- ☒ **C** Focus groups
- ☒ **D** Internet research

(iv) Which **one** of the following is used to calculate net cash flow?

(1)

Select **one** answer.

- ☒ **A** Total cash inflow – total cash outflow
- ☒ **B** Total cash inflow + total cash outflow
- ☒ **C** Opening balance – closing balance
- ☒ **D** Opening balance + closing balance

TADS has developed contracts with drumming schools in other countries to teach online music lessons.

An Italian drumming school has agreed that *TADS* can teach five lessons per week. Each lesson costs £15 for half an hour. The exchange rate in January 2019 was £1 = €1.15.

(v) What will the Italian drumming school pay in euros (€) for these five lessons?

(1)

Select **one** answer.

- ☒ **A** €5.75
- ☒ **B** €15.00
- ☒ **C** €75.00
- ☒ **D** €86.25

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1. Question 1 · part e · 2 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part e only.

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In May 2019 the exchange rate was £1 = €1.05. *TADS* continued to provide the Italian drumming school with five lessons a week.

(vi) What effect would this change in the exchange rate have on the Italian drumming school?

(1)

Select **one** answer.

- ☒ **A** A decrease in cash outflows
- ☒ **B** An increase in import costs
- ☒ **C** A decrease in revenue
- ☒ **D** An increase in the internet costs

(b) Define the term **fixed costs**.

(1)

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(c) Define the term **stakeholder**.

(1)

(d) State **one** benefit to *TADS* of investing in computer technology.

(1)

1. Question 1 · part e · 2 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part e only.

TADS buys a drum kit for £190 and sells it for £350.

(e) Calculate, to two decimal places, the mark up on this drum kit.

(2)

..... %

(f) Explain **one** disadvantage of being in a partnership.

(3)

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1. Question 1 · part e · 2 marks · Working and answer

Working and answer

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2. Question 4 · part a · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part a only.

4 *Backyard Shoez* buys children's shoes for 2 400 Ks and sells them for 3 200 Ks.

(a) Calculate the markup on these shoes. You are advised to show your working.

(2)

.....%

(b) Analyse the usefulness of profitability ratios to *Backyard Shoez*.

(6)

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2. Question 4 · part a · 2 marks · Working and answer

Working and answer

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3. Question 1 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

1 (a) (i) Which sector does a clothing retailer operate in?

(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quaternary

(ii) Which **one** of the following is an example of a fixed cost?

(1)

- ☒ **A** Rent
- ☒ **B** Overdraft charges
- ☒ **C** Raw materials
- ☒ **D** Commission

Yellow's store in Dubai ordered 2,000 T-shirts at a cost of 6 000 Rupees each. Currently the exchange rate is 1 Rupee = 0.032 Dirham (AED).

(iii) What would the *Yellow* store in Dubai pay in Dirhams for the 2,000 T-shirts?

(1)

- ☒ **A** 62 500
- ☒ **B** 187 500
- ☒ **C** 375 000
- ☒ **D** 12 000 000

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3. Question 1 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Six months later, *Yellow* placed a repeat order for the same number of T-shirts at the same price. The exchange rate now is 1 Rupee = 0.042 AED.

(iv) What would be an effect on *Yellow* of the change in the exchange rate?

(1)

- ☒ **A** Lower profit
- ☒ **B** Higher variable costs
- ☒ **C** Cash flow deteriorates
- ☒ **D** Could charge lower prices

(v) Which **one** of the following is a long-term source of finance?

(1)

- ☒ **A** Sales revenue
- ☒ **B** Reinvested profit
- ☒ **C** Trade credit
- ☒ **D** Bank overdraft

Figure 1 shows financial information in Rupees for 2015 to 2016.

Year ending	2016	2015
Revenue	13 399 000	12 880 000

Figure 1

(vi) What is the percentage increase in revenue from 2015 to 2016?

(1)

- ☒ **A** 4.03%
- ☒ **B** 5.19%
- ☒ **C** 6.44%
- ☒ **D** 8.69%

(b) Define the term **crowdfunding**.

(1)

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3. Question 1 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(c) Define the term **branding.**

(1)

(d) State **one** diseconomy of scale that could affect *Yellow*.

(1)

Yellow could use the cost plus method of pricing for the clothes it sells.

(e) Calculate the selling price of a T-shirt that costs *Yellow* 252 (AED) if the mark-up was 17%. You are advised to show your working.

(2)

AED

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(f) Explain **one** advantage for a business of having loyal customers.

(3)

3. Question 1 · part e · 2 marks · Working and answer

Working and answer

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4. Question 1 · part a.v · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a.v only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Loaf*, a bakery and cookery school, was set up by Tom Baker in Birmingham, UK. The aim is to promote real food and healthy living. It wants to use its skilled chefs to bring real food to the kitchens of the local community. It uses its cookery courses and bakery to help restore the local high street. *Loaf* also hosts pop-up events (one-off events) in different parts of the city where it shows off its products. Any profit made through these events is directed towards furthering *Loaf*'s charitable work.

Loaf operates a scheme called 'Waste Not'. At the end of the day *Loaf* donates any leftover food to charities who distribute it to local people. In addition, *Loaf* provides a recycling hub for the local community.

Loaf is a social enterprise with nine members of staff; six of whom are directors.

(a) (i) Which **one** of the following is a non-financial business objective?

(1)

Select **one** answer.

- ☒ **A** Profit
- ☒ **B** Sales
- ☒ **C** Market share
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is a part of the Boston Matrix?

(1)

Select **one** answer.

- ☒ **A** Rising star
- ☒ **B** Risk assessment
- ☒ **C** Product packaging
- ☒ **D** Extension strategy

(iii) Which **one** of the following is an additional payment to a basic wage?

(1)

Select **one** answer.

- ☒ **A** Promotion
- ☒ **B** Bonus
- ☒ **C** Job enrichment
- ☒ **D** Piece rate

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4. Question 1 · part a.v · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a.v only.

Figure 1 shows the product life cycle diagram.

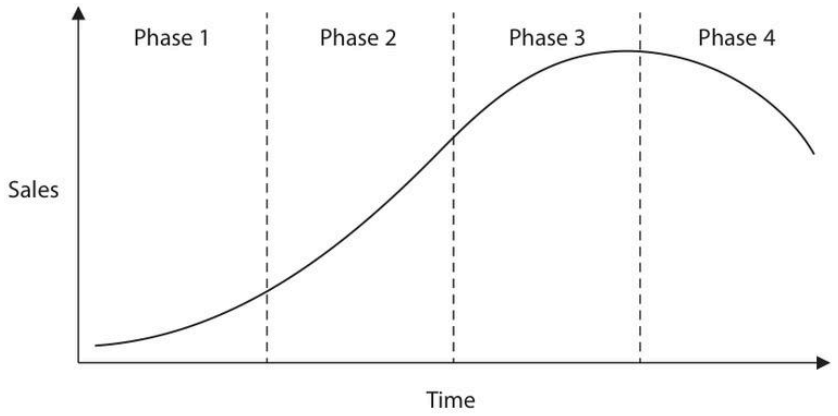


Figure 1

(iv) Which **one** is the correct label for Phase 2? (1)

Select **one** answer.

- ☒ **A** Growth
- ☒ **B** Decline
- ☒ **C** Introduction
- ☒ **D** Maturity

Loaf charges £165 for its day-long 'Seafood Masterclass' course. The cost to *Loaf* of running this course is £66.

(v) What mark up has *Loaf* applied to this course? (1)

Select **one** answer.

- ☒ **A** 99%
- ☒ **B** 150%
- ☒ **C** 231%
- ☒ **D** 250%

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4. Question 1 · part a.v · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a.v only.

Loaf is offering some Japanese students the opportunity to take part in a two-hour 'Bao and Dumplings' course. The course will cost £65.

The exchange rate is £1 (Pound) = 148.86 JPY (Japanese Yen).

(vi) Which **one** of the following amounts would a student pay for this course in Yen?

(1)

Select **one** answer.

- ☒ **A** 65.00 JPY
- ☒ **B** 148.86 JPY
- ☒ **C** 9620.00 JPY
- ☒ **D** 9675.90 JPY

(b) Define the term **capital intensive production**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** reason why Tom Baker set up his business as a social enterprise.

(1)

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P 6 2 4 2 8 A 0 5 2 0

5

Turn over ▶

4. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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5. Question 1 · part a.iii · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a.iii only.

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1 *Hans Raj Mahajan Worldwide (HRMW)* is an established manufacturer of sports equipment and sportswear in India. It is a family-run business, which started trading in 1925 and since then has grown to become an established business. Its products are exported across the world. These include footballs, boxing gloves, hockey sticks and sports clothing.

(a) (i) Which **one** of the following is the meaning of production?

Select **one** answer.

(1)

☒ **A** Provision of services

☒ **B** Exchange of goods

☒ **C** Extraction of raw materials

☒ **D** Manufacture of finished goods

(ii) Which **one** of the following is a benefit to a person of buying a franchise?

Select **one** answer.

(1)

☒ **A** The person can buy supplies from any supplier

☒ **B** The person is given support from an established business

☒ **C** The person is guaranteed a set wage

☒ **D** The person shares their profits with the franchisee

A football that costs 1 060 Indian Rupees is sold for 1 600 Indian Rupees.

(iii) Which **one** of the following would be the markup percentage?

Select **one** answer.

(1)

☒ **A** 6.63%

☒ **B** 15.09%

☒ **C** 33.75%

☒ **D** 50.94%

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5. Question 1 · part a.iii · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a.iii only.

The bank interest rate in India changed from 4.5% to 6.0%.

(iv) Which **one** of the following could affect a business because of this change?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Increase in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(v) Which **one** of the following is a feature of a public corporation?

Select **one** answer.

(1)

- ☒ **A** It is owned by a board of directors
- ☒ **B** It is funded by government
- ☒ **C** It aims to maximise profit
- ☒ **D** It is not accountable to anyone

Figure 1 shows the cash flow of a business for a month.

	(£)
Opening balance	1 020 000
Cash inflow	360 000
Cash outflow	400 000

Figure 1

(vi) Which **one** of the following is the closing balance for the business at the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£40 000
- ☒ **B** £40 000
- ☒ **C** £980 000
- ☒ **D** £1 060 000

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P 6 2 4 2 9 A 0 4 2 0

5. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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6. Question 1 · part a.vi · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a.vi only.

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1 *Nantgwynfaen Organic Farm (NOF)* is a farm growing a range of fruit and vegetables. It has a farm shop and offers accommodation with breakfast. It was set up by Amanda and Ken Edwards in West Wales, UK.

NOF supports farmers by selling local organic produce in its farm shop. The produce from the farm shop is served to the visitors staying overnight at the farm.

NOF is committed to being environmentally friendly by recycling, avoiding the use of packaging and reducing the use of electricity.

(a) (i) Which **one** of the following is an external source of finance?

(1)

Select **one** answer.

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Bank loan
- ☒ **D** Selling assets

(ii) Which **one** of the following is the name of a pricing strategy where a business sets a high price for a new product in the market?

(1)

Select **one** answer.

- ☒ **A** Penetration
- ☒ **B** Skimming
- ☒ **C** Competition
- ☒ **D** Promotional

(iii) Which **one** of the following types of discrimination is protected by legislation?

(1)

Select **one** answer.

- ☒ **A** Age
- ☒ **B** Ability
- ☒ **C** Social
- ☒ **D** Ethical

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6. Question 1 · part a.vi · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a.vi only.

(iv) Which **one** of the following is a document employers would send to potential employees?

(1)

Select **one** answer.

- ☒ **A** Curriculum vitae
- ☒ **B** Letter of application
- ☒ **C** Newspaper advertisement
- ☒ **D** Person specification

NOF imports dried fruit from France. A kilogram (kg) costs €12.84.

The exchange rate is £1 (Pound sterling) = €1.16 (Euro).

(v) Which **one** of the following would *NOF* pay for 1kg of dried fruit in pounds sterling?

(1)

Select **one** answer.

- ☒ **A** £1.16
- ☒ **B** £11.07
- ☒ **C** £12.84
- ☒ **D** £14.00

NOF buys honey from a local farm for £1.60 a jar and sells it to customers for £3.60.

(vi) What is the markup on a jar of honey?

(1)

Select **one** answer

- ☒ **A** 1.6%
- ☒ **B** 2%
- ☒ **C** 125%
- ☒ **D** 250%

(b) Define the term **profit**.

(1)

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6. Question 1 · part a.vi · 1 mark · Working and answer

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7. Question 1 · part a.v · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.v only.

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1 *Artify Studio* was set up in 2015 by Tay Hui Jae in the busy Kampong Glam area of Singapore. *Artify Studio*'s aim is to have 'a communal art space where people can come together and paint, where people would be given as much creative freedom as they would have if they were in their own spaces.'

Artify Studio provides many services including its popular Liberty Art Jam where customers can paint as well as listen to music. The studio offers a Corporate Art Jam and Regular Kids Classes. Customers can purchase art materials after attending the studio.

Artify Studio is a profit-making organisation with a social element. It employs seven part-time people, all of whom are art enthusiasts.

(a) (i) Which **one** of the following functional areas is responsible for the recruitment of new employees?

(1)

Select **one** answer.

- ☒ **A** Finance
- ☒ **B** Marketing
- ☒ **C** Production
- ☒ **D** Human Resources

(ii) Which **one** of the following is an internal source of finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Selling assets
- ☒ **C** Venture capital
- ☒ **D** Crowdfunding

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7. Question 1 · part a.v · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.v only.

(iii) Which **one** of the following is a main feature of the statement of comprehensive income?

(1)

Select **one** answer.

- ☒ **A** Current assets
- ☒ **B** Non-current liabilities
- ☒ **C** Cost of sales
- ☒ **D** Capital employed

(iv) Which **one** of the following is a political factor that can affect a business?

(1)

Select **one** answer

- ☒ **A** Taxation
- ☒ **B** Global warming
- ☒ **C** Habitat destruction
- ☒ **D** Part-time workers

Running the Liberty Art Jam costs *Artify Studio* S$10 Singapore Dollars (SGD). People attending the course are charged S$35.

(v) What markup has *Artify Studio* applied to this service?

(1)

Select **one** answer

- ☒ **A** 35%
- ☒ **B** 45%
- ☒ **C** 250%
- ☒ **D** 350%

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7. Question 1 · part a.v · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.v only.

Artify Studio imports sets of acrylic paint from Malaysia at a cost of 8.50 Malaysian Ringgit (MYR) per set.

The exchange rate is 1 MYR = 0.33 S$ (SGD).

(vi) Which **one** of the following would *Artify Studio* pay in SGD if they imported 15 sets of paints?

(1)

Select **one** answer

- ☒ **A** 2.81
- ☒ **B** 4.95
- ☒ **C** 15.00
- ☒ **D** 42.08

(b) Define the term **diseconomies of scale**.

(1)

(c) Define the term **job production**.

(1)

(d) State **one** financial method of motivation *Artify Studio* could use to motivate its employees.

(1)

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7. Question 1 · part a.v · 1 mark · Working and answer

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8. Question 1 · part a.vi · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a.vi only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS A

1 *Can Culleretes* is a restaurant based in the Spanish city of Barcelona. Opening in 1786 it is the second oldest restaurant in Spain. It has been run by the Agut-Manubens family since 1958 and serves a variety of Mediterranean food. Sisters Montserrat and Alicia are co-owners of the restaurant with six members of the family working for them. The restaurant is near to popular tourist attractions and close to many other restaurants. It opens for lunch and dinner only.

(a) (i) Which **one** of the following could immediately improve cash flow?

Select **one** answer.

(1)

- ☒ **A** Allow customers to pay later
- ☒ **B** Launch an advertising campaign
- ☒ **C** Increase inventory of raw materials
- ☒ **D** Pay suppliers later

(ii) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Internet
- ☒ **B** Postal survey
- ☒ **C** Newspaper
- ☒ **D** Government report

(iii) Which **one** of the following is a fixed cost?

Select **one** answer.

(1)

- ☒ **A** Rent
- ☒ **B** Packaging
- ☒ **C** Weekly wages
- ☒ **D** Raw materials

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8. Question 1 · part a.vi · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a.vi only.

(iv) Which **one** of the following is used to calculate the break-even point?

Select **one** answer.

(1)

- ☒ **A** Fixed costs × (selling price + variable costs)
- ☒ **B** Fixed costs × (selling price – variable costs)
- ☒ **C** Fixed costs ÷ (selling price + variable costs)
- ☒ **D** Fixed costs ÷ (selling price – variable costs)

For its Winter menu *Can Culleretes* buys 10 kilograms (kg) of salmon from Scotland every week at a cost of £19.17 per kilogram.

In November 2021 the exchange rate was £1 = €1.17

(v) Which **one** of the following is the total cost in euros of buying a two week supply of salmon?

Select **one** answer.

(1)

- ☒ **A** €191.70
- ☒ **B** €224.29
- ☒ **C** €383.40
- ☒ **D** €448.58

Can Culleretes buys its prawns from a local fishmonger at a cost of €11.50 a kilogram. It is then sold to customers for €13.70 a kilogram.

(vi) What is the markup on a kilogram of prawns?

Select **one** answer.

(1)

- ☒ **A** 11.5%
- ☒ **B** 13.7%
- ☒ **C** 19.1%
- ☒ **D** 23.0%

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8. Question 1 · part a.vi · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a.vi only.

(b) Define the term **job production**.

(1)

(c) Define the term **diseconomies of scale**.

(1)

(d) State **one** method *Can Culleretes* could use to collect quantitative market research.

(1)

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Figure 1 is an extract from *Can Culleretes'* cash-flow forecast.

	June
Opening balance	€4 400
Cash inflow	€4 600
Cash outflow	€3 000
Net cash flow	

Figure 1

(e) Calculate the net cash flow for *Can Culleretes* in June. You are advised to show your working.

(2)

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8. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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9. Question 1 · part a.v · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a.v only.

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1 *The Better Toy Store (TBTS)* is a children's toy shop. *TBTS* has three shops in Singapore. Two of the shops are located in busy shopping malls and the third is located at the Jewel Changi Airport. *TBTS* has a website for customers looking to buy toys online.

TBTS selects toys to sell that are excellent for play, value, design and quality. All *TBTS* toys are environmentally friendly.

(a) (i) Which **one** of the following is a form of promotion that targets a specialised segment of the market?

Select **one** answer.

(1)

- ☒ **A** Mass marketing
- ☒ **B** Niche marketing
- ☒ **C** Market share
- ☒ **D** Market analysis

(ii) Which **one** of the following is a financial aim for a business?

Select **one** answer.

(1)

- ☒ **A** Survival
- ☒ **B** Challenge
- ☒ **C** Social objectives
- ☒ **D** Personal satisfaction

(iii) Which **one** of the following is a variable cost?

Select **one** answer.

(1)

- ☒ **A** Rent paid
- ☒ **B** Management salaries
- ☒ **C** Insurance agreed
- ☒ **D** Raw materials

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9. Question 1 · part a.v · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a.v only.

(iv) Which **one** of the following is a role of the production function?

Select **one** answer.

(1)

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Customer service
- ☒ **D** Staff welfare

TBTS buys its balloon packs from a local supplier for 7.20 Singapore Dollars (SGD) a pack. It sells them to customers for 16.90 SGD.

(v) Which **one** of the following is the markup on a pack of balloons?

Select **one** answer.

(1)

- ☒ **A** 7.20 %
- ☒ **B** 9.70 %
- ☒ **C** 69.84 %
- ☒ **D** 134.72 %

TBTS sells balloons in packs of four at a price of 67.60 SGD.
The exchange rate is 1 SGD = 3.05 Malaysian Ringgit (MYR).

(vi) Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs?

Select **one** answer.

(1)

- ☒ **A** 16.90 MYR
- ☒ **B** 22.16 MYR
- ☒ **C** 67.60 MYR
- ☒ **D** 206.18 MYR

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9. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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10. Question 1 · part e · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS A

1 The *LEGO* Group is a privately-owned business in Denmark. The business was founded in 1932 by the Kristiansen family. The family still owns it. The name *LEGO* is an abbreviation of two Danish words, 'leg godt' which means 'play well'. It is now one of the world's largest manufacturers of toys with 15 factories and over 18,000 employees around the world.

LEGO manufactures toys, games and art materials for boys and girls of all ages, and products from films such as Star Wars and Harry Potter. It believes that children are the role models of the future and playing with *LEGO* can support children in a developing and complex world.

(a) (i) Which **one** of the following shows money coming in and money going out of a business?

Select **one** answer.

(1)

- ☒ **A** A mortgage
- ☒ **B** Break-even
- ☒ **C** Cash flow
- ☒ **D** Profit and loss

(ii) Which **one** of the following could a person complete when applying for a job?

Select **one** answer.

(1)

- ☒ **A** Application form
- ☒ **B** Shortlisting
- ☒ **C** Job description
- ☒ **D** Person specification

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10. Question 1 · part e · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

Figure 1 shows financial information for one of *LEGO*'s suppliers in Danish Krone (DKK).

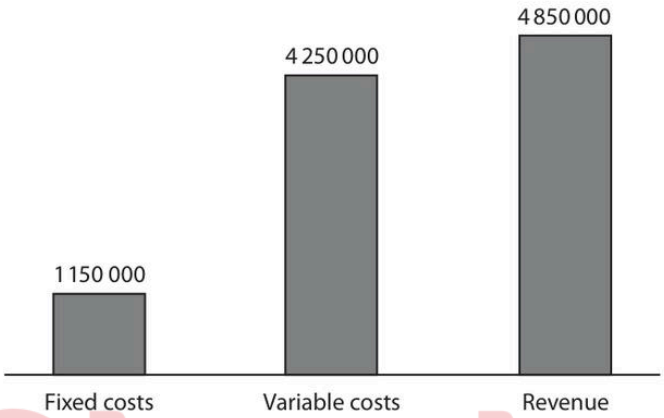


Figure 1

(iii) Which **one** of the following is the correct statement?

Select **one** answer.

(1)

- ☒ **A** Total costs of 10 250 000
- ☒ **B** Cash inflow of 3 100 000
- ☒ **C** Loss of 550 000
- ☒ **D** Profit of 600 000

(iv) Which **one** of the following is a benefit of being a franchisee?

Select **one** answer.

(1)

- ☒ **A** Being able to choose your own suppliers
- ☒ **B** Selling an established brand
- ☒ **C** Not having to pay interest on a bank loan
- ☒ **D** Having complete control of the business

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P 6 9 5 5 1 A 0 4 2 0

10. Question 1 · part e · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

LEGO's revenue in 2019 was 38.5 billion DKK. In 2020 it was 40.81 billion DKK.

(v) Which **one** of the following is the percentage increase from 2019 to 2020?

Select **one** answer.

(1)

- ☒ **A** 0.06%
- ☒ **B** 1.06%
- ☒ **C** 2.31%
- ☒ **D** 6%

(vi) Which **one** of the following functional areas could help employees who had a problem with their wage?

Select **one** answer.

(1)

- ☒ **A** Production
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Sales

(b) Define the term **break-even**.

(1)

(c) Define the term **public corporation**.

(1)

(d) State **one** benefit for *LEGO* of having a short span of control.

(1)

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10. Question 1 · part e · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

LEGO sells pineapple pencil holders for 148.00 DKK. The markup is 15%.

(e) Calculate, to two decimal places, the cost of making the pineapple pencil holders.
You are advised to show your working.

(2)

..... DKK

(f) Explain **one** disadvantage of using questionnaires as a method of market research.

(3)

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10. Question 1 · part e · 2 marks · Working and answer

Working and answer

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11. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a.vi only.

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1 *Aude Rose* is a flower shop in Paris, France. It was set up by Aude Anglaret after she graduated with a qualification in floristry. It opened a shop in 2009 in the outskirts of Paris. Since then it has gone from strength to strength increasing its market share. To meet this increase in demand it has closed its first shop and opened a larger one in the centre of Paris with a higher rent and a possible increase in customers. It currently employs four florists. *Aude Rose* has been recognised for its high-quality flower arrangements that have been seen in several wedding magazines.

(a) (i) Which **one** of the following describes a minimum wage?

Select **one** answer.

(1)

- ☒ **A** Fixed amount per year and paid monthly
- ☒ **B** The lowest amount a business can legally pay its employees
- ☒ **C** Payment made to an employee for working additional hours
- ☒ **D** Payment made to an employee for reaching a target

(ii) Which **one** of the following describes the cash cow category in the Boston matrix?

Select **one** answer.

(1)

- ☒ **A** High market growth, high market share
- ☒ **B** High market growth, low market share
- ☒ **C** Low market growth, high market share
- ☒ **D** Low market growth, low market share

(iii) Which **one** of the following would give a business a negative cash flow?

Select **one** answer.

(1)

- ☒ **A** Cash inflow is greater than cash outflow
- ☒ **B** Costs are greater than profits
- ☒ **C** Profits are greater than costs
- ☒ **D** Cash outflow is greater than cash inflow

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11. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a.vi only.

(iv) Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job?

Select **one** answer.

(1)

- ☒ **A** Job description
- ☒ **B** Person specification
- ☒ **C** Application form
- ☒ **D** Curriculum vitae

To wrap its flowers *Aude Rose* buys 150 metres of wrapping paper from London, England every week at a cost of £0.46 per metre.

In October 2022 the exchange rate was £1 = €1.15

(v) Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper?

Select **one** answer.

(1)

- ☒ **A** €79.35
- ☒ **B** €276.00
- ☒ **C** €317.40
- ☒ **D** €396.75

Aude Rose provides flowers for large events. The most popular is a selection of traditional flowers selling for €65. The cost of making this selection of flowers is €42.

(vi) Which **one** of the following is the markup for a selection of traditional flowers?

Select **one** answer.

(1)

- ☒ **A** 54.76%
- ☒ **B** 64.62%
- ☒ **C** 182.61%
- ☒ **D** 282.61%

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4

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11. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a.vi only.

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(b) Define the term **economies of scale**.

(1)

(c) Define the term **stakeholder**.

(1)

(d) State **one** benefit to *Aude Rose* of using just-in-time (JIT) production.

(1)

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Aude Rose has fixed costs of €50 000 a year with a selling price of €50 and a variable cost of €10 per bunch of flowers sold.

(e) Calculate how many bunches of flowers *Aude Rose* will have to sell to break-even. You are advised to show your working.

(2)

..... bunches of flowers

11. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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12. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.iv only.

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1 *IKEA* is a well-known home furniture retailer with stores throughout the world. It was started in 1943 by Ingvar Kamprad when he was given some money by his father for doing well at school. He wanted to produce furniture at a price that people could afford to buy.

He realised that transporting furniture to customers was difficult as goods were often damaged. He developed flat packs to avoid damage. A flat pack contained all the materials needed to self-assemble a table, a chair or a bed.

All *IKEA* stores are run as franchises.

(a) (i) Which **one** of the following is a financial business objective?

Select **one** answer.

(1)

- ☒ **A** Challenge
- ☒ **B** Social objectives
- ☒ **C** Survival
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is an advantage to a business of using venture capital?

Select **one** answer.

(1)

- ☒ **A** It decreases access to other sources of finance
- ☒ **B** It keeps ownership in the business
- ☒ **C** It improves public relations
- ☒ **D** It can receive expert advice

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12. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.iv only.

A Canadian supplier of timber charges *IKEA* $19.75 Canadian Dollars (CAD) per load.

The exchange rate is $1 CAD = 6.58 Swedish Krona (SEK).

(iii) Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona?

Select **one** answer.

(1)

- ☒ **A** 151.98 SEK
- ☒ **B** 3 001.52 SEK
- ☒ **C** 19 750.00 SEK
- ☒ **D** 129 955.00 SEK

An *IKEA* dining table costs *IKEA* 3 800 SEK to make. The table sells for 4 400 SEK.

(iv) Which **one** of the following is the correct markup?

Select **one** answer.

(1)

- ☒ **A** 1.16%
- ☒ **B** 13.64%
- ☒ **C** 15.79%
- ☒ **D** 115.79%

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O Levels .COM SCHOOL

12. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.iv only.

Figure 1 is a diagram of a product life cycle.

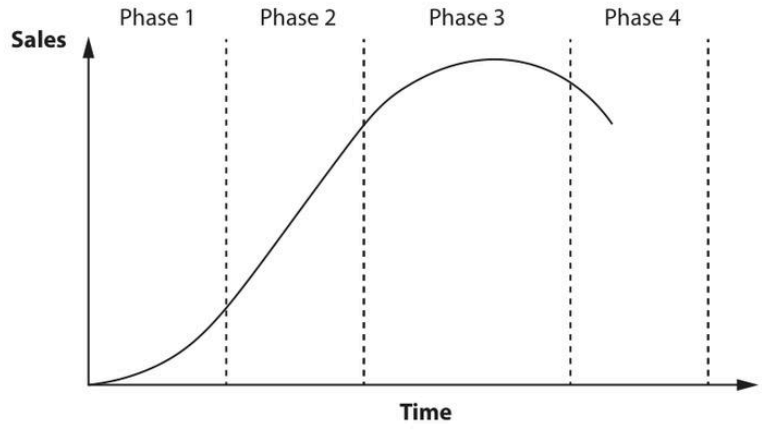


Figure 1

(v) Which **one** of the following is Phase 3 of the product life cycle?

Select **one** answer.

(1)

- ☒ **A** Decline
- ☒ **B** Growth
- ☒ **C** Introduction
- ☒ **D** Maturity

(vi) Which **one** of the following are equal in a break-even graph?

Select **one** answer.

(1)

- ☒ **A** Fixed costs and variable costs
- ☒ **B** Fixed costs and revenue
- ☒ **C** Total costs and fixed costs
- ☒ **D** Total costs and revenue

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12. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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13. Question 1 · part a.v · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a.v only.

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1 *Café Pinch* is a small café based in Berlin, the capital city of Germany. It serves a range of hot and cold meals. The owner, Kumaran, trained in good Berlin restaurants and cafés before starting his own café business. It opened in December 2018. It has 10 seats in front of the café and 10 inside. It is located close to an underground station. Despite being surrounded by many other cafés, *Café Pinch* received 5 out of 5 in online reviews. The reviewers commented on the high-quality cooked food, filled Ciabattas, range of drinks and excellent customer service. The café is open 8am–5pm every day. It has a website which is used for information purposes only.

(a) (i) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Crowdfunding
- ☒ **C** Retained profit
- ☒ **D** Share capital

(ii) Which **one** of the following is a result of average costs rising in a growing large business?

Select **one** answer.

(1)

- ☒ **A** Economies of scale
- ☒ **B** Diseconomies of scale
- ☒ **C** Purchasing economies
- ☒ **D** Financial economies

(iii) Which **one** of the following is the money left after all costs have been subtracted from revenue?

Select **one** answer.

(1)

- ☒ **A** Gross profit
- ☒ **B** Inflows
- ☒ **C** Loss
- ☒ **D** Profit

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13. Question 1 · part a.v · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a.v only.

(iv) Which **one** of the following is a debt payable after 12 months?

Select **one** answer.

(1)

- ☒ **A** Non-current liability
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Current asset

Café Pinch sells many filled Ciabattas. The most popular is mozzarella cheese and avocado, selling for €5.30. The cost of making this Ciabatta is €2.56.

(v) Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta?

Select **one** answer.

(1)

- ☒ **A** 48%
- ☒ **B** 93%
- ☒ **C** 107%
- ☒ **D** 207%

Café Pinch wants to add French Fries to its menu. It will use British potatoes costing £0.82 per kilo.

The exchange rate is €1 (euro) = £0.84.

(vi) Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes?

Select **one** answer.

(1)

- ☒ **A** €59.52
- ☒ **B** €48.81
- ☒ **C** €42.00
- ☒ **D** €41.00

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13. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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14. Question 3 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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3 One aim of *Jimmy Choo's* is to ensure that all its employees are well motivated and fully trained to carry out the jobs they are employed to do. This is to reduce the number of employees leaving the business.

(a) Define the term **person specification**.

(1)

(b) Outline **one** reason why branding is important to *Jimmy Choo*.

(2)

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A *Jimmy Choo* handbag costs $1 590 (US dollars) to manufacture. It sells for $2 450.

(c) Calculate, to two decimal places, the percentage increase on this *Jimmy Choo* handbag when it is sold. You are advised to show your working.

(2)

..... %

14. Question 3 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Analyse why *Jimmy Choo* asks all candidates applying for a vacancy to complete an application form.

(6)

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14. Question 3 · part c · 2 marks · Working and answer

Working and answer

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15. Question 3 · part c · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

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3 (a) Define the term **exporter**.

(1)

(b) Outline **one** advantage to *Samsung* of using flow production when manufacturing its products.

(2)

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The cost of manufacturing a *Samsung* laptop is 520 000 KRW (South Korean won). The mark-up is 25% on the manufacturing costs.

(c) Calculate the selling price of the laptop. You are advised to show your workings.

(2)

.....KRW

15. Question 3 · part c · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

(d) Analyse why profit is important to *Samsung*.

(6)

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15. Question 3 · part c · 2 marks · Working and answer

Working and answer

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Practice workbook · Using income statements and financial documents to decide

Features of the statement of comprehensive income and how financial documents help owners, banks and shareholders assess performance and decide.

12 question parts: 1 worked-example retry and 11 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S3-25

1. Question 2 · part e · 3 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

2 *Rabanne* aims to be the best provider of fragrances for men and women throughout the world. Therefore, it uses a range of methods to make sure it will achieve this aim.

(a) State **one** reason why *Rabanne* ensures that all its employees have job enrichment opportunities.

(1)

(b) State **one** way *Rabanne* could measure its success as a business.

(1)

(c) Explain **one** reason why some businesses fail.

(3)

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1. Question 2 · part e · 3 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

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(d) Explain **one** reason why a business would use targeted advertising online to promote itself.

(3)

(e) Explain **one** reason why businesses use statements of comprehensive income when making decisions.

(3)

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P 7 8 7 9 7 A 0 9 2 0

1. Question 2 · part e · 3 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

Rabanne is finding that communicating with its employees around the world is becoming more difficult. Employees are also finding problems in communicating with each other.

Rabanne is considering the following two options to help improve communication within the business:

Option 1: communicate all information through text messaging/email

Option 2: hold weekly meetings.

(f) Justify which **one** of these two options *Rabanne* should choose.

(9)

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1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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2. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

4 **Figure 2** is an extract from *Aude Rose*'s Statement of Comprehensive Income.

Sales	€62 400
Gross profit	€45 024
Cost of sales	€17 376

Figure 2

(a) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

(2)

..... %

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2. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(b) Analyse factors that *Aude Rose* might consider when measuring the success of its business.

(6)

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2. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) Evaluate the usefulness of financial documents to help *Aude Rose* when deciding to open a second shop. You should use the information provided as well as your own knowledge of business.

(12)

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2. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.



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2. Question 4 · part c · 12 marks · Working and answer

Working and answer

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3. Question 1 · part a.iii · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.iii only.

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1 *Artify Studio* was set up in 2015 by Tay Hui Jae in the busy Kampong Glam area of Singapore. *Artify Studio*'s aim is to have 'a communal art space where people can come together and paint, where people would be given as much creative freedom as they would have if they were in their own spaces.'

Artify Studio provides many services including its popular Liberty Art Jam where customers can paint as well as listen to music. The studio offers a Corporate Art Jam and Regular Kids Classes. Customers can purchase art materials after attending the studio.

Artify Studio is a profit-making organisation with a social element. It employs seven part-time people, all of whom are art enthusiasts.

(a) (i) Which **one** of the following functional areas is responsible for the recruitment of new employees?

(1)

Select **one** answer.

- ☒ **A** Finance
- ☒ **B** Marketing
- ☒ **C** Production
- ☒ **D** Human Resources

(ii) Which **one** of the following is an internal source of finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Selling assets
- ☒ **C** Venture capital
- ☒ **D** Crowdfunding

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3. Question 1 · part a.iii · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.iii only.

(iii) Which **one** of the following is a main feature of the statement of comprehensive income?

(1)

Select **one** answer.

- ☒ **A** Current assets
- ☒ **B** Non-current liabilities
- ☒ **C** Cost of sales
- ☒ **D** Capital employed

(iv) Which **one** of the following is a political factor that can affect a business?

(1)

Select **one** answer

- ☒ **A** Taxation
- ☒ **B** Global warming
- ☒ **C** Habitat destruction
- ☒ **D** Part-time workers

Running the Liberty Art Jam costs *Artify Studio* S$10 Singapore Dollars (SGD). People attending the course are charged S$35.

(v) What markup has *Artify Studio* applied to this service?

(1)

Select **one** answer

- ☒ **A** 35%
- ☒ **B** 45%
- ☒ **C** 250%
- ☒ **D** 350%

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3. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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4. Question 2 · part e · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

2 (a) State **one** fixed cost *Ocean Vibes* is likely to pay.

(1)

(b) State **one** method of primary research *Ocean Vibes* may use.

(1)

(c) Explain **one** advantage to a business of having high market share.

(3)

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4. Question 2 · part e · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

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(d) Explain **one** advantage to a business of using e-commerce to sell its products.

(3)

(e) Explain **one** reason why shareholders would be interested in the financial documents of a business.

(3)

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4. Question 2 · part e · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

The owners of *Ocean Vibes* plan to grow the business. They are considering two options to finance the growth:

Option 1: venture capital

Option 2: loan capital.

(f) Justify which **one** of these two options the owners of *Ocean Vibes* should choose.

(9)

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4. Question 2 · part e · 3 marks · Working and answer

Working and answer

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5. Question 3 · part d · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

3 Figure 1 is an extract from *Lavender's* Statement of Comprehensive Income. Use the information below and then answer the following questions.

	Bakery (000s MYR)	*L.café* (000s MYR)	*L.bistro* (000s MYR)
Revenue	149	75	65
Cost of sales	83	51	33
Gross profit	66	24	32
Gross profit margin	44.3%		49.2%

Figure 1

(a) Define the term **current liabilities**.

(1)

(b) Outline **one** reason why the revenue is higher for the Bakery shops rather than for *L.café* and *L.bistro*.

(2)

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5. Question 3 · part d · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(c) Using Figure 1, calculate the gross profit margin for *L.café*. You are advised to show your workings.

(2)

.....%

(d) Analyse how the Statement of Comprehensive Income can be used by *Lavender* when considering its expansion.

(6)

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5. Question 3 · part d · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

To expand by opening new outlets, *Lavender* will need to know what its customers' needs and wants are.

In order to do this, *Lavender* are considering the following **two** options:

Option 1: primary market research

Option 2: secondary market research.

(e) Justify which **one** of these two methods *Lavender* should use.

(9)

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(Total for Question 3 = 20 marks)

5. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 3 · part d · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

3 The Chairman of *Tata Motor Company* works closely with the Finance Department to ensure that the company maintains its financial position. **Figure 2** shows the revenue for *Tata Motor Company*, 2011–2017.

Year	US$ (millions)
2011	18 441
2013	28 508
2015	39 737
2017	42 839

Figure 2

(a) Define the term **revenue**.

(1)

(b) Outline **one** reason why *Tata Motor Company* uses overdrafts.

(2)

(c) Calculate to 2 decimal places, the percentage increase in revenue from 2011 to 2017. You are advised to show your working.

(2)

%

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6. Question 3 · part d · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

(d) Analyse how *Tata Motor Company* could use the financial information in **Figure 2**.

(6)

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6. Question 3 · part d · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

Tata Motor Company gathers data to help it promote its vehicles. It is considering **two** options:

Option 1: primary research

Option 2: secondary research.

(e) Justify which **one** of these two options *Tata Motor Company* should use.

(9)

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(Total for Question 3 = 20 marks)

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6. Question 3 · part d · 6 marks · Working and answer

Working and answer

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) Define the term **job share**.

(1)

(b) Outline **one** reason why high levels of customer satisfaction might be important to *Loaf*.

(2)

Figure 2 is an extract from *Loaf*'s statement of comprehensive income in 2018.

	£000s
Revenue	90
Gross profit	22
Other operating expenses	4

Figure 2

(c) Calculate the operating profit margin for *Loaf* in 2018. You are advised to show your working.

(2)

..... %

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

(d) Analyse how useful the information in **Figure 2** is to *Loaf*.

(6)

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

Loaf is looking to increase its net cash flow.

It is considering the following two options:

Option 1: hosting pop-up events across the country

Option 2: introducing different cookery courses.

(e) Justify which **one** of these two options *Loaf* should choose.

(9)

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7. Question 3 · part d · 6 marks · Working and answer

Working and answer

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8. Question 4 · part b · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

4 The Indian Government has said that *HRMW* is one of the top 10 businesses in India. *HRMW* has been given more than 50 awards for its performance in exporting and for the quality of its products.

Figure 3 shows *HRMW*'s possible financial situation.

	Rupees (000)
Current assets	64 650
Inventory	42 450
Current liabilities	54 550

Figure 3

(a) Calculate, to two decimal places, the acid test ratio for *HRMW*.
You are advised to show your workings.

(2)

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8. Question 4 · part b · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Analyse why a bank would be interested in *HRMW*'s financial documents if it were to apply for a loan to develop new sports products.

(6)

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8. Question 4 · part b · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

(c) Evaluate the factors that make a business, such as *HRMW*, successful. You should use the information provided as well as your own knowledge of business.

(12)

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8. Question 4 · part b · 6 marks · Working and answer

Working and answer

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9. Question 1 · part g · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

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1 In 1985 *Emirates* started its airline business with just two aircraft. It is now a well-known airline with over 265 aircraft flying to over 180 destinations around the world.

Emirates has won many awards for service and reliability. Until 2016 passengers rated *Emirates* the leading airline to travel with. However, in 2017 its rating dropped from first to fourth.

(a) (i) Which **one** of the following only applies to a public limited company?

(1)

Select **one** answer.

- ☒ **A** Controlled by the government
- ☒ **B** Shares are traded on the stock exchange
- ☒ **C** A maximum of 50 shareholders
- ☒ **D** Restriction in the transfer of shares

(ii) Which **one** of the following departments would send an invoice to a supplier?

(1)

Select **one** answer.

- ☒ **A** Human resources
- ☒ **B** Marketing
- ☒ **C** Finance
- ☒ **D** Production

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9. Question 1 · part g · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

Figure 1 shows the annual total revenue of £1 200 000 for five businesses.

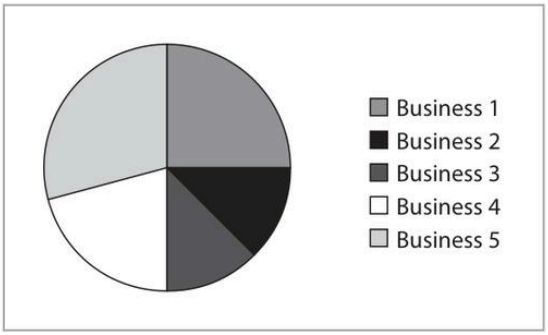


Figure 1

Business 1	**£300 000**
Business 2	**£150 000**
Business 3	**£150 000**
Business 4	**£250 000**
Business 5	**£350 000**

(iii) What is the market share for Business 2?

(1)

Select **one** answer.

- ☒ **A** 12.5%
- ☒ **B** 20.8%
- ☒ **C** 25.0%
- ☒ **D** 29.2%

(iv) Which **one** of the following describes an overdraft?

(1)

Select **one** answer.

- ☒ **A** A method of borrowing regular amounts
- ☒ **B** More funds taken out than are in the account
- ☒ **C** Money lent by many people to a business
- ☒ **D** A loan due for repayment in five years

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9. Question 1 · part g · 6 marks

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Figure 2 Extract from *Emirates* financial reports, 2015–2017

	2016–2017 Dirham millions (AED)	2015–2016 Dirham millions (AED)
Total assets	133 281	129 989
Cash assets	19 066	23 453

Figure 2

(v) What is the percentage change in total assets between 2015–2016 and 2016–2017?

(1)

Select **one** answer.

- ☒ **A** –18.70%
- ☒ **B** –2.53%
- ☒ **C** 2.47%
- ☒ **D** 2.53%

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(vi) Which **one** of the following would be part of recruiting a new employee?

(1)

Select **one** answer.

- ☒ **A** Business plan
- ☒ **B** Induction training
- ☒ **C** Job description
- ☒ **D** Job enrichment

(b) Define the term **social enterprise**.

(1)

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(c) Define the term **globalisation**.

(1)

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.....

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P 6 2 4 2 7 A 0 5 2 0

9. Question 1 · part g · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

(d) State **one** reason why *Emirates* uses competition pricing.

(1)

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Figure 3 shows part of a cash flow forecast for *Emirates*.

	June 2017 Dirham billions (AED)
Opening balance	44
Cash inflow	26
Cash outflow	30
Net cash flow	
Closing balance	40

Figure 3

(e) Calculate the net cash flow for June 2017. You are advised to show your working.

(2)

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9. Question 1 · part g · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

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(f) Explain **one** of the factors in Herzberg's motivational theory.

(3)

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9. Question 1 · part g · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

(g) Analyse the likely benefits to *Emirates* of using financial information when making business decisions.

(6)

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(Total for Question 1 = 20 marks)

9. Question 1 · part g · 6 marks · Working and answer

Working and answer

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10. Question 3 · part d · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

3 (a) Define the term **price skimming**.

(1)

(b) Outline **one** reason why cash might be important to *Artify Studio*.

(2)

Figure 1 is an extract from the *Artify Studio* statement of profit and loss.

	S$
Revenue	90 500
Cost of goods sold	53 500
Direct labour	8 500
Total cost of sales	62 000
Gross profit	28 500

Figure 1

(c) Calculate, to two decimal places, the gross profit margin for *Artify Studio*. You are advised to show your working.

(2)

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10. Question 3 · part d · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

(d) Analyse how *Artify Studio* could use the information in **Figure 1** to assess the performance of the business.

(6)

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10. Question 3 · part d · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

Artify Studio is looking to increase the amount of paint materials it sells. It wants to sell painting sets for children and will need additional finance for the start-up costs of buying these painting sets.

It is considering the following two options:

Option 1: crowdfunding

Option 2: retained profit.

(e) Justify which **one** of these two options *Artify Studio* should choose.

(9)

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10. Question 3 · part d · 6 marks · Working and answer

Working and answer

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11. Question 3 · part d · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

3 *LEGO* ensures its employees are fully prepared to carry out the tasks they are employed for. It looks after and encourages its employees to develop and improve their own skills.

(a) Define the term **delegation**.

(1)

(b) Outline **one** benefit to *LEGO* of being a privately-owned family business.

(2)

An employee working in the offices earns 150 000 DKK. In 2020 *LEGO* gave its employees a 4.5% pay increase.

(c) Calculate the employee's new salary. You are advised to show your working.

(2)

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11. Question 3 · part d · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

(d) Analyse how *LEGO* could use a Statement of Comprehensive Income when considering the development of new toys.

(6)

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11. Question 3 · part d · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

Ensuring that all employees are fully trained is important to *LEGO*. *LEGO* makes sure that all employees are fully trained and skilled to carry out the work. All employees have induction training when they start at *LEGO*. Additional training is undertaken by employees as they progress through the business. *LEGO* is considering the following two options to carry out this additional training.

Option 1: on-the-job training

Option 2: off-the-job training.

(e) Justify which **one** of these two options *LEGO* should choose.

(9)

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11. Question 3 · part d · 6 marks · Working and answer

Working and answer

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12. Question 4 · part b · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

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4 *IKEA* continually reviews the products it makes to meet the demands of its customers. Changing the design of bedroom furniture to meet the needs of a couple setting up home or of parents refurnishing their children's bedroom.

Figure 3 shows the value of *IKEA*'s inventory for 2019 and 2020.

Year	Inventory € (billions)
2019	4.3
2020	3.7

Figure 3

(a) Calculate, to two decimal places, the percentage decrease in inventories from 2019 to 2020. You are advised to show your working.

(2)

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12. Question 4 · part b · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

(b) Analyse why *IKEA* uses statements of comprehensive income to assess its business performance.

(6)

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18

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12. Question 4 · part b · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

IKEA prides itself on knowing the tastes and demands of its customers. This means it can provide the best experience possible when customers are shopping. It offers inspirational home furnishing tutorials and workshops to help customers create the perfect home.

(c) Evaluate the importance to *IKEA* of using demographic segmentation when targeting its customers. You should use the information provided as well as your own knowledge of business.

(12)

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12. Question 4 · part b · 6 marks · Working and answer

Working and answer

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